

ESA PENALTY POLICY

The Industrial Policy Committee approved an ESA Penalty Policy ("Policy") at its meeting in September 2014.

In the Policy, four categories of contracts are defined and the penalty approach is described for each category (see table below).

The Policy is applicable to fully funded contracts (i.e. nominally excluding programmes whose implementing rules explicitly foresee co-funding by Industry) that result in delivery of items, goods, products and/or documentation and where the ESA GCC mandatorily applies.

The table below summarises the Policy, the purpose of which is mainly to provide economic operators with an increased transparency and predictability with respect to the penalty clause in ESA contracts.

Category of contracts	Definition as per IPC paper	Penalty application	Penalties in sub contract(s)
Category 1	Contracts for studies and/or technology developments for low Technology Readiness Level – TRL 1-3/4 Activities in this category can be compared with basic research activities where the applied science may not yet have been defined/planned.	NO = baseline YES = in exceptional cases of schedule importance/criticality	NO = baseline To be assessed by Prime
Category 2	Contracts for technology development for high Technology Readiness Level - TRL 4-6. Activities in this category are typically schedule critical since the results of the activities usually constitute inputs to the start of a project or other important applications	YES, and may be combined with a schedule incentive clause	To be assessed by Prime
Category 3	Contracts for space systems or space infrastructure development (including launcher development contracts) where delivery of (flight) H/W and S/W is foreseen or where commissioning/operations are among the contracted activities	YES, and may be combined with an incentive clause	To be assessed by Prime
Category 4	Contracts not falling under one of the categories above but where the results or part of the results are schedule critical	YES	To be assessed by Prime

For the cases of contracts not falling into the domain of application of the Policy (e.g. service contracts, co-funded contracts) the decision to insert or not to insert penalties shall be taken on an ad-hoc basis whilst within the categories identified in the penalty policy the decision is guided by the policy as summarised in the above table.